

International Business

Learning Objectives

- After studying this, chapter students will be able to understand:
- The meaning and significances of International Business
- Different types of International Business and the challenges face in to International Business
- Management system of IB and forms of Economic Integration

Chapter Outline

- Meaning of International Business
- Importance of International Business
- Challenges of International Business
- Forms of Entry of International business
- Management of International Business
- Forms of Economic Integration
- WTO

Meaning of Globalization

- Globalization simply means growing interdependence over the countries.
- Globalization refers to the increasing integration of economies around the world, particularly through trade and financial flows (IMF, 2000).

Globalization can be divided in to two forms:

- Globalization of markets
- Globalization of production



International Business



- IB refers to a broad series of activities involved in conducting business across national boundaries.
- International business gives promise of large scale of profits if the organization can run the business successfully.

Objectives of International Business

- Higher rates of profit
- Expanding the production capacity
- Avoid brutal competition in home country
- To get access in large scale global market
- To avoid political instability in local market
- To adopt technological advancement
- To use competent human resources in foreign country
- To avoid high cost of transportation
- To exploit nearness of raw materials
- To get advantage of liberalization
- To increase market share
- To avoid Tariff and import quota of respective country

Importance of International Business

- Optimum and proper uses of world resources
- Open market
- Economic growth of world at large
- Increasing living standard of life
- Increased socio-economic welfare
- Reduced risk
- Large-scale of economies
- Cultural transformation

Dimensions of international business

- Domestic
- International- involving export and import – Abul Khair Group.
- Multinational- investing in other countries with adjusting the products, services, and business practices – Uni lever BD limited

Dimensions of international business

- Global – Doing business worldwide without considering the local responsiveness and producing and distributing same quality product globally – BMW automobile
- Transnational – Doing business using locational advantage and core competencies and paying attention to local responsiveness – Microsoft.

Difference between international and domestic business

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- Environment
- Plan and strategy
- Competition
- Currency
- Tariff and quotas
- Research and development

Difference between international and domestic business

- Human resources
- Organizational vision and objectives
- Investment
- Distribution
- Logistics
- Advertising and promotions
- Legal aspects

Forms of entering International Businesses

- Exporting: Direct, indirect, Intra-Corporate Transfers
- Licensing
- Franchising
- Special Modes:
 1. Management Contracts,
 2. Turnkey Projects
- Foreign Direct Investment with strategic alliance
 1. Mergers and acquisitions
 2. Joint venture
- FDI without alliance

Franchising vs. Licensing

Basis for Comparison	Licensing	Franchising
Meaning	Licensing is an arrangement in which a company (licensor) sells the right to use intellectual property or produce a company's product to the licensee, for royalty.	Franchising is an arrangement in which the franchisor permits franchisee to use business model or brand name for a fee, to conduct business, as an independent branch of the parent company (franchisor).
Governed by	Contract Law	Franchising regulations or Company Law as the case may be.
Registration	Not necessary	Mandatory
Training and support	Not provided	Provided
Degree of control	The licensor has control on the use of intellectual property by the licensee, but has no control on the licensee's business.	Franchisor exerts considerable control over franchisee's business and process.
Process	Involves one time transfer of property or rights.	Needs ongoing assistance of franchiser.
Fee structure	Negotiable	Standard

Challenges of International Business

- Management Myopia
- Political Obstacles
- National Controls
- High Investment required
- Economic obstacles
- Social/ Cultural obstacles

Management of International Business

- The elements of market analysis required to launch a business overseas
- Guidance on how to influence the international strategy of your business
- Advice on how to construct a dynamic market entry strategy
- Easy ways to search for a competitive advantage

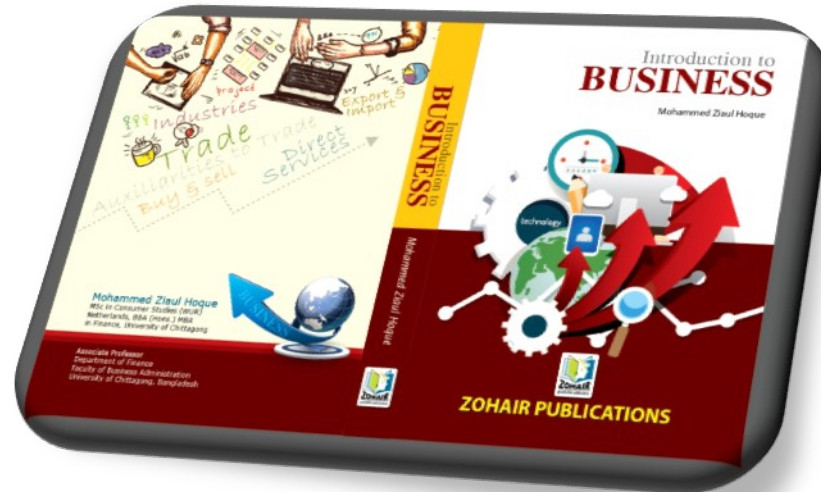
International Business Management



Three Approaches to International Business Management

- Ethnocentric Approach (one's own cultural group is superior to others)
- Polycentric Management Approach (Building a workforce of locals, based on the belief that locals' best know the region's culture, language and work style)
- Geocentric Approach (business challenges are viewed as universal)

Thanks!



Question?